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OpenAI closes \$6.6 billion funding haul with investment from Microsoft and Nvidia

By Krystal Hu

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Summary Companies

Funding, in convertible debt, coming from Thrive Capital, Khosla Ventures, Microsoft and Nvidia
Altimeter Capital, Fidelity, SoftBank, and MGX also participated
Thrive Capital committed \$1.2 billion with an option for \$1 billion more next year

Oct 2 (Reuters) - OpenAI, the company behind ChatGPT, has raised \$6.6 billion from investors, which could value the company at \$157 billion and cement its position as one of the most valuable private companies in the world.

The funding has attracted returning venture capital investors including Thrive Capital and Khosla Ventures, as well as OpenAI's biggest corporate backer Microsoft ([MSFT.O](#)), and new participation from Nvidia ([NVDA.O](#)).

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The closing of the funds coincides with the company's ongoing restructuring efforts and executive changes, including the abrupt departure of its longtime Chief Technology Officer, Mira Murati, last week.

Altimeter Capital, Fidelity ([FNF.N](#)) , SoftBank ([9984.T](#)) , and Abu Dhabi's state-backed investment firm MGX also participated in the round.

OpenAI Chief Financial Officer Sarah Friar told employees on Wednesday that the company will be able to provide liquidity for them through a tender offer to buy back their shares in the company following the funding, although no details and timing have been decided, according to a source. Earlier this year, the company allowed some employees to cash out their shares at a valuation of \$86 billion.

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Thrive Capital, which committed about \$1.2 billion from a combination of its own fund and a special purpose vehicle for smaller investors, negotiated the option to invest another \$1 billion next year at the same valuation if the AI firm hits a revenue goal, sources added.

Apple ([AAPL.O](#)) , which was in talks to invest in OpenAI, did not end up joining the funding, sources said, who requested anonymity to discuss private matters. Apple did not immediately respond to a request for comment.

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A keyboard is placed in front of a displayed OpenAI logo in this illustration taken February 21, 2023. REUTERS/Dado Ruvic/Illustration/File Photo [Purchase Licensing Rights](#)

The funding came in the form of convertible notes, and the conversion to equity [hinges on a successful structural change](#) into a for-profit that would no longer be controlled by the non-profit board and the removal of cap on returns for investors.

The personnel changes haven't deterred enthusiasm from most investors, who are anticipating significant growth based on the projections by OpenAI CEO Sam Altman.

The company is on pace to generate \$3.6 billion in revenue this year on mounting losses of over \$5 billion. It projects major revenue jump next year to \$11.6 billion, according to sources familiar with the figures.

Investors have also secured some protections as OpenAI undergoes the complex corporate restructuring that would grant Altman equity. The talks are still ongoing, and no timeline has been determined yet.

Investors have negotiated terms that would allow them to claw back their capital or renegotiate the valuation if the changes are not implemented within two years, sources said.

OpenAI's meteoric rise in terms of product popularity and valuation has captured the world's imagination. Since the launch of ChatGPT, it has attracted 250 million weekly active users. The company's valuation has also risen from \$14 billion in 2021 to \$157 billion as it grew revenue from zero to \$3.6 billion, far exceeding Altman's own projections at the time.

The company has told investors it is still actively pursuing artificial general intelligence (AGI), meaning developing AI systems that surpass human intelligence, as it ramps up commercialization and tries to be profitable.

Reporting by Krystal Hu in New York; Editing by Ken Li and Lisa Shumaker

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Krystal reports on venture capital and startups for Reuters. She covers Silicon Valley and beyond through the lens of money and characters, with a focus on growth-stage startups, tech investments and AI. She has previously covered M&A for Reuters, breaking stories on Trump's SPAC and Elon Musk's Twitter financing. Previously, she reported on Amazon for Yahoo Finance, and her investigation of the company's retail practice was cited by lawmakers in Congress. Krystal started a career in journalism by writing about tech and politics in China. She has a master's degree from New York University, and enjoys a scoop of Matcha ice cream as much as getting a scoop at work.



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